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Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Two Events

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Scott Wren
Senior Global Equity Strategist

Last Week's S&P 500 Index:
-3.8%

Key takeaways

- *Investors are wondering where the S&P 500 will finish out the calendar year.*
- *In our opinion, two events in coming weeks will determine whether the S&P 500 finishes 2018 higher or lower than current levels.*

In general, we want investors to look well down the road in the stock market, not focus on what might happen over a four- or five-week period. This strategist would normally consider whatever occurs over that short amount of time as nothing more than "noise." But given the downside volatility investors have lived through since the September 20 all-time record high in the S&P 500 (the index is down 9.5% from that high at the time of this writing), the phone has been frequently ringing with questions about where the S&P 500 will finish the calendar year. And who can argue with that? After all, December 31 is a natural point for investors to gravitate toward as they try to gauge the future prospects for their portfolios. "What will happen next year?" is also a natural question.

So while we encourage you not to get hung up on whether we will have a "Santa Claus" rally, there is good reason to pay attention to a handful of issues that can influence the markets in the coming weeks (and almost certainly longer) as we get ready to head into the New Year. Will the U.K. Parliament pass the Brexit withdrawal agreement Prime Minister Teresa May just negotiated with the European Union (EU)? Keep in mind that the U.K. economy is the fifth largest in the world. Does the plunging price of oil mean that global growth is poised to meaningfully slow down next year? Will Italy's government stand up to the EU's demands to cut the level of deficit spending proposed in the debt-ridden nation's budget? These are some of the issues markets will be thinking about in coming weeks and months.

But, in reality, we believe there are only two upcoming events that will likely determine whether the stock market will be higher or lower than current levels at the end of 2018. The first occurs at the end of this week at the G-20 Leaders' Summit being held in Buenos Aires, Argentina on November 30 and December 1. Attendees will include leaders from the (approximately) 20 largest global economies. But in case you have missed the headlines, we believe the most important meeting at this event is not between the 20 leaders; it's between just two of them: the United States and China. President Xi and President Trump will sit down for a meeting that almost completely overshadows anything else that might happen at the summit. In our opinion, just a whiff of positive news from this meeting of the presidents of the two largest economies on the face of the earth will likely be looked at as a positive by the U.S. stock market. The possibility exists. We do not expect a trade agreement to come out of this meeting but the equity market isn't expecting one either.

The other event that could greatly contribute to the performance of the stock market into year-end is the December 18-19 Federal Reserve monetary-policy meeting. An interest rate hike is expected and, in our opinion, completely priced into stocks. But all it would take for a positive response by the stock market is a slightly less hawkish 2019 tone in the post-meeting statement and during Chairman Jay Powell's subsequent press conference. Also not an impossible outcome.

Whether the S&P 500 Index performs as we have expected this year comes down to these two events, in our opinion.

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